HB Fresh Logistics: Performance Review

Nov 2025 – Oct 2026 · Power BI analysis

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1. Executive summary

HB Fresh Logistics is profitable overall: **$5.36M revenue, $1.51M profit, a 28.1% margin** across 5,000 trips. That profit is very concentrated. **Linehaul generates 95% of it**, while **Metro work runs at a small loss (−1.4%)**.

The loss isn't in Metro work as such. It shows up **when the own fleet does that work**: owned vans and rigids lose 5.6% on Metro trips, while subcontractors earn about 20% on the same route type. Linehaul shows the opposite pattern: the own fleet earns 41% against subcontractors' 22%.

The data points to one main theme worth investigating: **matching the right asset to the right job.** That means own prime movers on linehaul, and a review of how short Metro and Regional work is allocated and priced.

Metric	Value
Revenue	$5,364,408
Total cost (driver, subby, truck)	$3,859,095
Profit*	$1,505,312
Margin	28.1%
Trips / deliveries	5,000 / 11,479
Kilometres	1.32M
Subcontractor share of revenue	30.9%

*Profit = revenue minus driver, subcontractor and truck costs. Overheads are not included.

2. Scope, data and method

- **Data:** 12 months of synthetic trip (manifest) and delivery (leg) records, plus vehicle, driver, customer, location and subcontractor reference tables. It was modelled on how a real refrigerated freight operation records its work.
- **Model:** a star schema in Power BI with two fact tables at different grains (trip and delivery), linked through shared date and route dimensions.
- **Method:** profitability by route, vehicle, driver and fleet source, trend and seasonality analysis, and comparison of own fleet against subcontractor economics.
- **Limitation:** costs are recorded per trip, so customer profitability was not calculated. Customer analysis uses revenue and revenue per pallet.

3. Findings

3.1 Routes

Route band	Revenue	Profit	Margin
Linehaul	$4.15M	$1.43M	34.4%
Regional	$0.33M	$0.04M	13.0%
Long Haul	$0.36M	$0.04M	11.3%
Metro	$0.53M	−$0.01M	−1.4%

- Four linehaul routes (Melbourne ↔ Adelaide, Melbourne ↔ Sydney) earn **$1.43M at a 34–35% margin**. Melbourne → Adelaide alone earns $532K.
- **9 of the 10 Metro routes lose money.** The weakest is Sydney depot → ValuGrocer Sydney (−5.3%).
- Metro has the **highest revenue per km ($6.80)** but costs more still. Short trips earn well per km but carry high fixed time and handling costs.

3.2 Customers

- **Concentration risk:** the largest customer (Greenvale Farms) is **20% of revenue**, and the top 10 customers are **70%**.
- **Produce is 68% of revenue** but has the **lowest revenue per pallet ($118)**. Meat earns $149 per pallet.

3.3 Fleet

Vehicle type	Vehicles	Profit	Margin
Prime mover	12	$1,106,657	41.4%
Rigid (owned)	12	$74,203	8.3%
Refrigerated van	6	−$20,608	−18.3%
Rigid (rental)	3	−$14,367	−46.5%

- Prime movers earn about **97% of own-fleet profit**, roughly $92K per truck.
- **All six refrigerated vans lose money.** Their cost per km ($6.20) is about 2.5× a prime mover's.
- **Rental trucks are the weakest asset.** Each was used on only about 36 days.
- Owned rigids do the most trips (about 160 each) at a thin 8% margin.

3.4 Drivers

- Linehaul drivers generate about **$197K revenue each**, compared with about **$31K** for metro and regional drivers.
- Driver cost is **51% of metro/regional revenue** against **22% for linehaul**.
- Workload is uneven within linehaul: three drivers completed 130–144 trips, while several completed around 50.
- Melbourne holds 36 of the 45 drivers and about 80% of driver-handled revenue.

3.5 Own fleet vs subcontractors

Route band	Own fleet margin	Subcontractor margin
Linehaul	41.4%	21.8%
Long Haul	10.9%	15.9%
Regional	10.5%	23.4%
Metro	−5.6%	20.5%

- Subcontractors handled **449 linehaul trips ($1.48M)** at about half the own-fleet margin.
- On shorter work, subcontractors show **better margins than the own fleet**.
- One subcontractor (Northline Freight) receives **40% of subcontractor revenue**. Margins are similar across all six (20–22%).

3.6 Seasonality

- **December** was the peak month ($639K revenue, $185K profit), driven by a spike in Metro work. **January** was the lowest ($348K).
- Subcontractor share peaked at **37.6% in January**.
- **Friday** is the busiest day (909 trips) and **Sunday** the quietest (250).

4. Recommendations (to investigate)

These are hypotheses suggested by the data. Each should be tested against comparable routes, loads, service requirements and full cost data before any decision is made.

1. **Review Metro allocation and pricing.** Compare own-fleet and subcontractor Metro trips on like-for-like routes and loads. If the gap holds, consider moving more short work to subcontractors or renegotiating Metro rates.
2. **Prioritise own prime movers for linehaul.** Estimate the capacity, drivers and cost needed to bring part of the 449 subcontracted linehaul trips in-house. A rough upper bound for the margin gain is about $290K.
3. **Review rental trucks and refrigerated vans.** Test whether owned rigids or subcontractors could cover their work at lower cost.
4. **Reduce customer concentration.** Grow mid-size and higher-value segments, such as meat, where revenue per pallet is higher.
5. **Balance linehaul driver workload** for fatigue and fairness.
6. **Spread subcontractor work** across more carriers to reduce reliance on one supplier.
7. **Plan December capacity early,** and use January for maintenance and leave.

5. Limitations and next steps

- Profit excludes overheads (depot, admin, insurance). It reflects operating contribution, not net profit.
- Costs are per trip, so customer-level profit would need an allocation rule, such as splitting trip cost by revenue share.
- The analysis covers one year, so the seasonal patterns are indicative.
- Next steps: add overhead data, allocate costs to customers, and add a capacity model for the insourcing scenario.